like to think that they made a good choice in the past and don't like to look at evidence that their fund did poorly."[2]

The study by Goetzmann and Peles[3] showed that investors, when deciding whether to sell or to retain an investment, are affected by the disparity in value between the security's purchase price and its current price. The researchers observed an imbalance between cash inflows and outflows for most mutual funds and discovered that investors rapidly poured money into funds that performed well but tended to vacate the poorest-performing funds. This behavior suggests susceptibility to availability bias but also indicates that investors in a losing fund may suffer from selective perception, ignoring evidence that discredits the earlier decision to buy into the fund. In some instances, people also feel compelled to "double down," or to continue an investment in a risky situation in an attempt to break even, just to avoid the embarrassment of reporting a losing investment.

Goetzmann and Peles noted:

> *We present evidence from questionnaire studies of mutual fund investors about recollections of past fund performance. We find that investor memories exhibit a positive bias, consistent with current psychological models. We find that the degree of bias is conditional upon previous investor choice, a phenomenon related to the well-known theory of cognitive dissonance.*
>
> *The magnitude of psychological and economic frictions in the mutual fund industry is examined via a cross-sectional study of equity mutual funds. We find an unusually high frequency of poorly performing funds, consistent with investor "inertia." Analysis of aggregate dollar investments, however, shows the net effect of this inertia is small. Thus the regulatory implications with respect to additional disclosure requirements are limited. We examine one widely documented empirical implication of mutual fund investor inertia: the differential response of investment dollars to past performance. We perform tests that control for the crucial problem of survivorship. These confirm the presence of differential response, but find the effect is confined to the top quartile. There is little evidence that the response to poor performance is unusual.*[4]

The researchers' final comment here—that the response documented in their study appears widespread—suggests that this chapter might have especially broad implications. Understanding, detecting, and countering the behavioral biases associated with cognitive dissonance are objectives that, when undertaken successfully, could help numerous individual investors.